Unit III

Behavior Dynamics:

- **Interpersonal behavior**
- **Communication**
- **Transaction Analysis**
- **The Johari Window**
- **Leadership - Its Theories**
- **Prevailing Leadership styles in Indian Organizations**

INTERPERSONAL BEHAVIOUR

Interpersonal Behaviour is basically how "two persons" interact in any setting. It is extremely important in organizations to strengthen interpersonal relationships. When at a basic level, that is, between two people the relationship is strong and pleasant; it will lead to proper behavior. This behavior will result in productive work which is ultimately what organizations are looking for. At the employee level of trust and passion for work exists, the unity between them can achieve great results. These results would be in terms of reduction in the time lag, better quality work, and excellence in working procedures.

The individual's behavior affects and is affected by the behavior of others. Such effect is reflected by change in perception, learning, personality and motivation etc.

When people interact in organizations, there is a social transaction in which one person responds to another. If two or more people encounter each other in a social aggregation, sooner or later one of them will speak or give some other indication of acknowledging the presence of the others. This is called the transactional stimulus. Another person say or do something, which is in some way related to this stimulus, and that is called the transactional response. From the standpoint of TA (Transactional Analysis) approach, a transaction is a stimulus plus a response.

Interpersonal behavior can be of two types: Co-operative or Conflicting.

1) **Interpersonal Co-operative Behavior:** When the interaction between two persons in mutually gratifying, it is co-operative behavior. In this case, both persons are engaged in complementary transactions.

   Out of this interaction, both persons get satisfied over the objectives of mutual interaction. Conditions necessary for co-operative interpersonal behavior are mutual trust and respect, concern for each other needs, and interaction with complementary ego states.

2) **Interpersonal Conflicting Behavior:** Because of several reasons like personality differences, different value systems, interest's conflict, role ambiguity etc. interpersonal conflict may arise in the organization. This type of behavior may not be functional for the organization.

COMMUNICATION

The word Communication is derived from the Latin word 'communicare' that means to share, to make common, to impart, to participate, convey or transmit. As such communication may be defined as the sharing or exchange of messages, facts, opinions, ideas or attitudes and emotions between a sender (manager) and receiver (employee) or between two or more people. In other words, communication is the process through which two or more persons come to exchange ideas and understanding among themselves.

Communication is so fundamental a part of interpersonal behavior; thus, it may be interpreted as an interchange of thought or information to bring about understanding and confidence for good industrial relations. It brings about unity of purpose, interest, and efforts in an organization.

According to Peter Little, "Communication is the process by which information is transmitted between individuals and/or organizations so that an understanding response results".

According to Keith Davis, "Communication is the process of passing the information and understand from one person to another. It is essentially a bridge of meaning between the people. By using the bridge, a person can safely cross the river of misunderstanding".

According to Louis A. Allen, "Communication is the sum total of all the things that a person does, when he wants to create and understanding in the mind of another. It involves a systematic and continuous process of telling, listening and understanding."

Nature of Communication

1) **Universal:** Communication is universal phenomenon. All living creatures (human beings, birds, beasts, etc.) communicate through their own symbols and signs.

2) **Communication is Unavoidable:** Communication is always an existing and unavoidable phenomenon. Not only facia expressions, positive gestures and other behavioural ways, even silence also conveys a lot about the persons attitude.

3) **Continuous Process:** Communication is not an art or event of time rather, it is a continuous process incorporating various events and activities that are interrelated and interdependent.

4) **Two-Way Traffic:** Communication is not complete unless, the receiver understands the message. To ensure that the receiver has understood the message, there should be some sort of feedback. Thus, the communication is two-way and not the non-way traffic.

5) **Short-Lives Process:** The process of communication is complete as soon as the message is received and understood by the receiver in the right perspective; hence, it is a short-lived process.

6) **Needs Proper Understanding:** There may be numerous media of communication but the main purpose of conveying the message is a proper understanding of the message by the other party. For this purpose, it should be clearly and concisely worded.

7) **Leads Achievement of the Organisational Objective:** Effective communication does this by creating the sense of object orientation in the organization.

8) **Dispels Misunderstanding:** In this sense, it provides clear understanding between persons and thus, builds a bridge of companionship among people.

TYPES OF COMMUNICATION IN AN ORGANIZATION

Within an organization, communication may flow inter-scalar or intra-scalar. Inter-scalar communication means when it flows between two persons at different managerial levels. It may further be classified as **downward** when it flows from higher level to lower level, i.c., from superior to subordinate or **upward** when it flows from lower level to higher level, i.e., from subordinate to superior. Intera-scalar communication flows between persons at the same hierarchical level. It is also known as **horizontal or lateral communication.** Hence, various types of communication in the organization can be summarized as follows:

1) **Vertical Communication:** Upward and downward flow of messages constitutes vertical communication. Information is transmitted from top management to the employees working in the organization or vice versa. As it is not possible to have a direct interface on all occasions, especially when the number of people working is high, messages traverse or percolate down with the help of a mediator or an opinion leader. In such situations, probability is high that message might get distorted as it travels from one person to another.

   i) **Downward Communication:** Downward communication moves from a superior to subordinate, i.e., from the CEO downwards. It travels through senior executives to junior level functionaries, from the controlling office to the branch, from the head of the division

to the head of the unit. Corporate goal's, business priorities, motivational letters, work related instructions, newsletters, letters from the CEO/General Manager's desk are all typical examples of downward communication.

Vertical Communication - Downward and Upward

ii) Upward Communication: Upward communication is just the reverse of the downward communication. It flows upward from a subordinate to the superior through middle managerial levels along the line.

Such communication is of two types:

a) Feedback of Information: In this the subordinates convey a message to the top executive in response to the latter's original communication.

b) Voluntary Communication: Voluntary communication from the subordinates to convey their complaints, grievances, suggestions & opinions.

2) Horizontal Communication or Lateral Communication:

This type of communication refers to communication between various departments or units representing the same level, or people within the same or different departments, without having a superior-subordinate relationship. It flows between persons at the same hierarchical level**.** The main objective of this type of communication is to co-ordinate the efforts of different departments performing different but related activities. Such communications may be oral or written.

3) Diagonal Communication or Crosswise Communication: This includes the horizontal flow of information as also that among persons at different levels who have no direct reporting relationships**.** This kind of communication is used to speed information flow to improve understanding, and to co-ordinate efforts for the achievement of organizational objectives. It must be noted that a very great deal of communication does not follow the organizational hierarchy but cuts across the well drawn lines.

IMPORTANCE OF COMMUNICATION

Importance of communication is shown in Figure below:

1) **Basis of Managerial Functions:** Communication runs through the entire process of management. It is essential not only in directing but in all the management functions. Planning cannot be sound unless the plans are formulated in consultation with the subordinates. Creation of an organization structure requires transfer of information relating to tasks, responsibilities and authority delegation. Selection, training and other staffing activities involve interchange of information and knowledge between superior and subordinates.

   Communication is required in motivating, supervising and directing the subordinates. In order to execute the plans, a manager must issue orders, institutions and advice. Leadership by persuasion puts a heavy premium on communication. Controlling requires feedback information about the performance of subordinates in order to determine whether the planned targets are being achieved or not. Thus, communication is an indispensable component of the management process.

2) **Efficient Functioning:** Communication is an vital to the efficient functioning of an organization as the circulation of blood in the human body. Without communication management is impossible. The effectiveness of a manager depends largely upon ability to understand subordinates and to make himself or herself understood by them. Communication is the link that unites superior and subordinates and brings about mutual understanding among them.

   Every manager requires communication skills in order to get things done from his subordinates. Most of the managerial problems arise due to lack of understanding or negative attitude among the subordinates. Such problems can be avoided through continuous interchange of facts, opinions and ideas between the superior and the subordinate. Though communication a manager can explain himself to his subordinates and understand their problems, suggestions, feelings, etc. In the absence of constant communication, employees feel alienated and unwanted.

3) **Stimulates Initiative and Creativity:** 'Group' action or teamwork is not possible without communication. It is no exaggeration to say that communication is the means by which organized activity is unified. It is the means by which behavior os modified, change is effected and goals are achieved. Coordination, i.e., concurrence of purpose and teamwork, can only be achieved when the members of a workgroup are continuously in touch with one another. A two way communication system also stimulates initiative and creativity among the subordinates.

4) **Job Satisfaction and Good Morale:** Morale is the human element that motivation a man to work in the right spirit. Good communication removes the possibility of misunderstanding among the parties concerned. Workers know what they have to do and how it creates a sense of cooperation among them. It increases the morale of the workers and each worker will have job satisfaction.

5) **Building Human Relation:** Effective communication is indispensable for building-up sound human relations. Sharing of ideas and information creates a sense of belonging andunit of interests. Communication is equally important in public relations for developing and maintaining a favorable image of the enterprise in society. Healthy industrial relations are conducive to industrial peace and prosperity. This is possible not

only with good working conditions and environment but also with communication among the management and workers. Participations in the decision-making process help to develop among the employees a sense of belongingness and loyalty to the organization. Though effective communication the management can convey its expectation to workers and workers can put their suggestions and grievances before the management.

6) **Avoid Illusion:** While passing through various stages information may be distorted by interested parties, and may create illusion and misunderstanding among persons. Illusion is the great enemy of communication. An efficient system of communication aims at removing illusions and misunderstanding by communicating facts and figures. Thus, communication cements an organization.

7) **Maximum Production at Minimum Cost:** An efficient communication system helps in improving public opinion, having contacts with government departments and getting market information in order to achieve the primary goals.

   It can seek cooperation of the workers by telling them the goals of the organization and the ways to achieve them.

8) **Prompt Decision and its Implementation:** Information must be received before any meaningful decision and, for this purpose. Communication is a primary requirement. Again, to implement the decision effectively, its communication to subordinates concerned is essential. Thus decision-making and its implementation require an effective system of communication.

9) **Contacts with External Parties:** Contacts with outside agencies such as customers, associations, other manufactures, advertisers, suppliers, trade unions, research councils and institutions, etc., are necessary in the interests of organization. It increases the goodwill of the firm and helps in creating a favourable public attitudes towards the organization.

Thus, effective communication is not essential for uninterrupted working of any enterprise, but also for maintaining good relations with external parties.

PROCESS OF COMMUNICATION

Communication is a process which involves a sender of message and a receiver. Communication is regarded as a two-way process. Two-way communication process is concerned with sharing and understanding of information.

There are different elements of communication which are necessary for an effective communication process. These elements are as follows:

1) **Source:** The source is the originator of the idea or the message. It may also be known as the sender who may be an individual or a group, i.e., an individual who might be acting the role on behalf of a group. The source conceives the idea, prepares the message, selects the channel, and decides about the receiver.

2) **Message:** It refers to the stimulus that the source transmits to the receiver. Messages are composed of symbols having a certain meaning to the source and the receiver. Message could be verbal (written or spoken) or non-verbal (such as appearance, body language, silence, sounds, signs etc.).

3) **Encoding:** Translation of an idea into a message appropriate for transmission by the source is called **encoding.** While encoding a message, one need to consider what contents to include, how the receiver will interpret it and how it may affect one's relationship.

4) **Channel:** The channel is a means through which the message travels from the source to the receiver. The channel may be mass media (not meant for any particular individual) such as newspapers, radio, T.V., etc., or interpersonal (meant for a particular individual) such as telephone, correspondence, etc. Selection of the channel or medium (written or oral) depends upon the message to be conveyed, importance of message, number of receivers, availability of the channel, cost of the channel and effectiveness of the channel, etc,

5) **Receiver:** The receiver is the person for whom the message in intended. It is the single most important in the communication process. Any neglect on the part of the receiver may render the communication ineffective.

6) **Decoding:** When the massage, symbols, etc., is converted into a certain meaning it is known as decoding. Decoding is done by the receiver. The message should be clearly worded so that it is easily understood by the receiver.

7) **Feedback:** Ultimately the receiver reacts or responds to the communication sent by the sender. The response could based on clear interpretation of the message sent or it could based on misunderstanding or misinterpretation of the message sent. Whatever the response of a receiver to a sender is, it is called feedback.

TRANSACTIONAL ANALYSIS

Transactional analysis is a social psychology concept developed by **Eric Berne** in 1950. Over the past five decades, Eric Berne's theory has evolved to include applications to psychotherapy, counseling, education, and organizational development.

TA refers to a method of analyzing and understanding interpersonal behavior. When people interact, there is social transaction in which one person responds to another. The study of these transactions between people is called transactional analysis.

Transactional analysis has a very important place in organizational literature. It does not represent any theory of motivation but helps in predicting the pattern of behavior of the individual.

According to Eric Berne, "When two or more people interact, there is a social transaction or intercourse that takes place in which a person responds to another. The study of these social transactions is called transactional analysis."

According to Robbins Stephen, "Transactional analysis is a technique used to help people better understand their own and others' behaviours, especially in interpersonal relationship".

According to Edgar Huse, "Transactional analysis is to help the people involved better understand their own ego states then those of others, to understand the principles behind transactions and games, and to interact in more meaningful ways with one another".

Transactional analysis offers a model of personality and the dynamics of self and its relationship to others that makes possible a clear and meaningful description of behavior.

Thus, TA is powerful tool of analyzing and understanding interpersonal behavior.

Objectives of Transactional Analysis

The objectives of TA are:

1) To provide better understanding of how people relate to each other, so that they may develop improved communication and human relationships.
2) To recognize transactional sequences that people engage as they interact with each other.
3) To facilitate effective communication and interaction between persons and groups.
4) To know what ego states people are transacting from.

Components of Transactional Analysis

Transactional Analysis (TA) is very important technique to understand the interpersonal relations

in the organization. It can give employees fresh insights into their own personalities. Transactional Analysis is a very useful and fascinating framework for analyzing the behavior of both. It offers some very useful insights into the impact of different behavioural styles on relationships between people. It mainly comprises of three components which act as pillar:

1) Ego state
2) Types of transaction, and
3) Life positioning.

Ego States

In addition to the analysis of the interactions between individuals, transactional analysis also involves the identification of the ego states behind each and every transaction.

According to Berne, "An ego state is a consistent pattern of feeling and experience directly related to a corresponding consistent pattern of behavior".

According to Berne, people interact with each other from one of the three psychological positions, or behavioural patterns, known as **ego states.** Thus, ego states are a person's way of thinking, feeling, and behaving at any time. These ego states are parent, adult, and child.

Parent

(Taught Concept of Life)

Adult

(Thought Concept of Life)

Child

(Felt Concept of Life)

i) Parent Ego ("Exteropsyche"): The parent ego state incorporates the attitudes and behaviors of all emotionally significant people who serve as parent when an individual was a child. The value and behavior of these people are recorded in the mind of the individual and these become the basic values of the personality.

Characteristics of a person acting with the parent ego include being over-protective, distant, dogmatic, indispensable and upright. Physical and verbal clues that someone is acting with the parent ego include the wagging finger to show displeasure, reference to laws and rules, and reliance on ways that were successful in the past.

Types of Parent Ego States

There can be two types of parent ego states:

a) Nurturing Parent Ego: Nurturing Parent ego state reflects nurturing behavior not only towards children but also to other people in interaction.

b) Critical Parent Ego: Critical Parent ego state shows critical and evaluative behavior in interaction with others. Each individual has his unique parent ego state which is likely to be a mixture of helpfulness and hurtfulness.

ii) Adult Ego ("Neopsyche"): Adult ego state is based upon reasoning, seeking and providing information. Person interacting with adult ego views people as equal, worthy, and responsible human beings. It is based on rationally. The adult is characterized by logical thinking and reasoning. This ego state can be identified by verbal and physical signs which include thoughtful concentration and factual discussion.

The process of adult ego state formation goes through one's own experience, and continuously updating parental injunction by verifying. Though certain values which are formed in the childhood are rarely erased, an individual at the later stage of the life may block his child and parent ego states and use his adult ego only based on his experience. He updates the parent data to determine what is valid and what is not. Similarly, he also updates child data to determine which feelings should be expressed. Thus, he keeps and controls emotional expressions appropriately.

iii) Child Ego ("Archaeopsyche"): Child ego state reflects early childhood conditions and experience perceived by individuals in their early years of life, that is, before the social birth of an individual say, up to the age of five years. Characteristics of child ego include creativity, conformity, intimacy, depression, anxiety dependence, fear, and hate. Physical and verbal clues that person is acting in the child ego are silent compliance, attention seeking, temper tan trumps. Giggling and coyness. The child ego is characterized by non-logical and immediate actions which result in immediate satisfaction.

TYPES OF CHILD EGO

There are three parts of child ego:

a) Natural Child: The natural child is affectionate, impulsive, and sensuous and does what come naturally. However, he is also fearful, self-indulgent, self-centered and aggressive and may emerge in many unpleasant roles.

b) Adaptive Child: The adaptive child is the trained one and he is likely to what parents insists on, and sometimes learns to feel non- O.K. The adopted child when overtly inhibited, often becomes the troubled part of the personality.

c) Rebellion Child: The rebellion child experiences anger, fear and frustration.

Table : Behavioural Responses with Different Ego States

Parent Ego	Adult Ego	Child Ego
Rules and laws	Rationality	Seeing, hearing, touching
Do's and don'ts	Estimation	Experiencing joy/frustration
Truths	Evaluation	Creating
How to	Storing data	Wishing/fantasizing
Tradition	Figuring out	Feeling internally
Teaching	Exploring	Impulsive
Demonstrating	Testing	Spontaneous

TYPES OF TRANSACTIONS

Before Berne first published his theories on transactional analysis, he spent years formulating the framework of this approach. The key to this methodology was a transaction – the fundamental unit of social intercourse.

If two or more people encounter each other, sooner or later one of them will speak, or give some other indication of acknowledging the presence of the others. This is called transactional stimulus. Another person will then says or do something which is in some way related to the stimulus, and that is called the transactional response." With this definition, Dr. Benre defined the basic unit of analysis. At its simplest level, Transactional Analysis is the method for studying interactions between individuals. By identifying and standardizing upon a single unit, development and promotion of this theory was easily facilitated.

Depending on the ego states of persons involved in transactions, there are four types of transactions which are explained below:

i) Complementary Transactions or Parallel Transactions: A transaction is complementary when the stimuli and response patterns from one ego state to another are parallel. This is complementary because the stimulus gets the expected response. In such a case, both persons are satisfied and communication is complete. If a supervisor behaves with worker as parent to child the worker behaves as a child to parent. This is parallel transaction because the response is an expected. There can be nine complementary transactions. They are:

a) **Adult-Adult Transactions:** The manager in the adult ego state tries to reason out issues,

clarified and informs employees of issues, and has concern for facts and figures and human needs. His life position is 'I am O.K. you are O.K. This is an ideal transaction. Complementary transactions in these ego states are very effective because both persons are acting in a rational manner.

b) **Adult-Parent Transaction:** In adult-parent transaction, while the manager attempts to use the information he has processed, the employee in the parent ego prefers to use clichés and rules of the past. The employee tries to control and dominate the manager by using the parent ego. This transaction style can be effective only on a temporary basis.

c) **Adult-Child Transaction:** In adult-child interaction can be effective when the manager is aware of ego state of the employee.

d) **Parent-Parent Transaction:** In parent-parent transaction can be beneficial in cases where employee joins forces with the manager and supports him.

e) **Parent-Adult Transaction:** In this type of transaction, the manager may be frustrated because the employees will not perform as directed and vice versas. Due to frustration, such a relationship may not last long.

f) **Parent-Child Transaction:** This may be the ideal situation if the manager is interacting with parent ego and the employee is acting in his child ego.

g) **Child-Parent Transaction:** The manager in the child ego may contribute very little to the effectiveness of management.

h) **Child-Adult Transaction:** In this transaction, the adult employee will control child manager. The employee may become discouraged particularly when the manager makes decisions on the basis of whims, fancies, and emotions which pose problems to employee who wants to interact on the basis of rationality.

i) **Child-Child Transaction:** The manager interacting in child-child ego is not capable of leading his employee successfully and proves to be a liability to the organization. This transaction may not be lasting because the organization will review performance.

ii) **Non-Complementary Transactions or Crossed Transactions:** In a cross transaction, stimulus (S) and response (R) lines are not parallel, but they cross each other. It happens when stimulus does not get the expected response. For example, when a supervisor behaves the worker on adult to adult basis but worker behaves on child to parent basis, it is a non-complementary or cross transaction. The position is not desirable and the communication is blocked between the two persons and further interaction does not take

place.

iii) **Ulterior Transaction**: Ulterior transaction is the most complex because the communication has double meaning. When an ulterior message is sent, it is often disguised in a socially acceptable way. On the surface level, the communication has a clear adult message, whereas it carries a hidden message on the psychological level. Ulterior transactions, like blocked transactions, are undesirable.

iv) **Gallows Transaction:** It is signified by inappropriate love or smile in a transaction. A simile in response to a person's misfortune may serve as gallows transaction. Other examples of gallows transaction can be:

a) A teacher getting amused at the stupid behavior of her favorite student,

b) A mother laughing on the falling of her child.

c) A father beaming over the risk his son has taken and thereby losing in business.

LIFE POSITIONS

The individual's behavior towards others is largely based on specific assumptions that are made early in life. Very early in the childhood, person develops from experience, a dominant philosophy. Such philosophy is tied into their identity, sense of worth, and perceptions of other people. This tends to remain with the person for lifetime unless major experiences occur to change it. Such positions are called life positions or psychological positions. They stem from a combination of two view-points i.e. attitude towards self and attitude3 towards others. Either a positive response (OK) or negative response (Not OK) results in four possible life positions.

(i) **I am O.K. you are O.K.:** This is a rationally chosen life position. It is made after the individual has a large number of O.K. experiences with others. People with this position about themselves and others can solve their problems constructively. They accept the significance of other people and feel that life is worth living. This is based on adult ego. When managers work from this position, they are likely to express a more consistent pattern of confidence. They display a much higher level of mutual give and take. They delegate authority and feel comfortable with a spread of authority.

(ii) **I am O.K. you are not O.K.:** This position is taken by people who feel victimized or persecuted. They blame others for their miseries. This is the case of aggrieved person with an attitude that whatever they do its right. This is a distrustful life position. It usually results when a person was too much ignored in his childhood. In this life position, the persons operate with parent ego. Managers operating with this position are likely to give critical and oppressive remarks. They tend to point out the flaws, the bad things, rarely giving any warm, genuinely carrying feelings. They do not believe delegation of authority and feel that decentralization is a threat.

(iii) **I am not O.K. you are O.K.:** This position is common to persons who feel powerlessness in comparison to others. It is based on one's feelings about oneself. Individuals who feel a clear distinction between themselves and the people around them, who could do many things that the individuals could not do, hold this life position. Managers operating from this position tend to give and receive bad feelings. They tend to vacillate in their behavior and are often unpredictable and erratic.

(iv) **I am not O.K. you are not O.K.**: This is a desperate life position. This position is taken by those people who lose interest in living. They feel that life is not worth living at all. In extreme cases, they commit suicide or homicide. This is the case of individuals who are neglected seriously by their parents and are brought by servants. Managers operating from this position are likely to get put down strokes from others. They lack personal potency look no others in final decisions, and delegate inappropriately. One of these positions dominates each person's life. The desirable position is one that provides an adult-adult transaction, that is, "I am O.K. you are O.K.' It shows acceptance of self and others. This position can be learned through education, understanding, positive and mature psychological experiences.

ADVANTAGEOF TRANSACTIONAL ANALYSIS

Advantage of TA can be summarized as follows:

1) **Interpersonal Effectiveness:** TA improves interpersonal relationship by providing understanding of ego states of persons involved in interaction. The managers may be able to identify the ego states from which both parties are interacting. A better understanding of themselves and of other persons will make them more comfortable, confident and effective. The improved interpersonal relations will bring effectiveness to the organization.

2) **Organization Development:** TA can help in organization development process. **Jongeward** has identified the role of TA in six areas of organization development such as:

(i) To maintain adult-adult transactions,

(ii) To give an OK to the natural child,

(iii) To identify quickly crossed transactions,

(iv) To minimize destructive game playing,

(v) To maximize intimacy, and

(vi) To develop supportive systems, policies, and work environment.

3) **Conflict Resolution:** There are several natural connections between TA and the

approaches to resolving conflict. The parent Ego State may lead to the use of a forcing strategy, while the Child State may smooth over conflicts or try to avoid them. The "I am OK, you are OK" person is more likely to seek a win-win outcome, applying the adult ego state and a confrontational strategy. Once more, the relationship among a number of behavioral ideas and actions is apparent.

4) **Executive Development:** TA is a technique of executive development. It is used in business as a way to enhance the skills of the managers to cope with problems and deal more sensibly and effectively with employees. However, TA could not guaranteed solution of all human relation problem in organizations.

DISADVANTAGESOF TRANSACTIONAL ANALYSIS

The disadvantages of transactional analysis are as follows;

1) **Difficult to Understand:** It is difficult to understand ego states and transactions between people in practice particularly for the less educated people.

2) **Encourage Amateur Psychologizing:** TA tends to encourage "amateur psychologizing" if applied without sufficient training. TA jargons may lead to more "cuteness" than insight into human encounter.

3) **A Tool of Manipulation:** TA can be used as a put down in interpersonal relations. Some people might use this tool to manipulate the behavior of others as in case of ulterior transactions.

4) **Not Supported by Scientific Findings:** Very few scientific studies are available to support the effectiveness of transactional analysis in practice.

Thus, transactional analysis should be used with extreme care. For this the executives should learn this technique adequately through practical demonstrations, and practice this technique to manage workers effectively.

APPLICATIONS OF TRANSACTION ANALYSIS (TA)

1) **Organization Development:** Transactional analysis is a powerful tool in the hands of organizational development specialists. Through presenting the basic concepts of transactional analysis and using it as the basic theory organizational development specialists build a common strategy to address the particular needs of organizations and to

build a functional relationship, as well as eliminate dysfunctional organizational behaviors. As a theory of communication it extends to a method of analyzing systems and organizations.

2) **Counseling:** Counselors who utilize transactional analysis work contractually on solving "here and now" problems. Counseling work focuses on creating productive problem-solving behaviours. Using transactional analysis, counselors establish an egalitarian, safe and mutually respectful working relationship with their clients. This working relationship provides tools clients can utilize in their day-to-day functions to improve the quality of their lives.

3) **Education:** Outside the therapeutic field, it has been used in education. Educators who work with transactional analysis teach the simple concepts of basic transactional analysis to empower and enable students by providing them with concepts and tools to understand themselves and each other. Students, whether at elementary or post-graduate levels, learn more effective methods of interaction and mutual recognition. By using the basic theory of transactional analysis, educators work to create a common understanding of personality and functioning that reaches across all fields of learning and unifies the educational experience.

4) **Medical Field:** In practical application, it can be used in the diagnosis and treatment of many types of psychological disorders, and provides a method of therapy for individuals, couples, families and groups. As a theory of personality, TA describes how people are structured psychologically. It uses what is perhaps its best known model, the ego-state (Parent-Adult-Child) model to do this. This same model helps understand how people function and express themselves in their behaviours. It introduces the idea of a "Life (or Childhood) Script", i.e., a story one perceives about one's own life, to answer questions such as "What matters?", "How do I get along in life?" and "What kind of person am I?". This story, TA says, is often stuck to no matter the consequences, to "prove" one is right, even at the cost of pain, compulsion, self-defeating behavior and other dysfunction. Thus, TA offers a theory of a broad range to psychopathology.

5) **Training:** Transactional analysis has many applications for the trainer, facilitator, and coach. As a development tool it can be used on almost any interpersonal skills course and is invaluable in helping anyone (trainers and participants alike) explore their behaviors and motives.

6) **Stroking:** Stroking is defined as any act of recognition for another. People seek stoking in their interaction with others. It applies to all type of recognition, such as physical, verbal and eye contact between people.

7) **Leadership:** When managers transact primarily from a single ego state, they limit their choice of leadership styles. For example, the person with a dominant parent ego state will

tend towards a more autocratic style. If the child state is dominant, the free-rein style may be used extensively. However, a supervisor who feels "I am OK-You are OK" and who has a well-developed adult state is more likely to collect data prior to making a choice of style. The style chosen by the adult state generally will allow ample freedom for employees to participate in the decision process.

8) **Conflict Resolution:** There are several natural connections between TA and the approaches to resolving conflict. The Parent ego state may lead to the use of a forcing strategy, while the Child state may smooth over conflicts or try to avoid them. The "I am OK – You are OK" person is more likely to seek a win-win outcome, applying the Adult ego state and a confrontational strategy. Once more, the relationship among a number of behavioral ideas and actions is apparent.

JOHARI WINDOW

The Johari Window model was developed by Joseph Luft and Harrington Ingham is a tool to explain interpersonal communication processes. It has been Ingham is a tool to explain interpersonal communication processes. It has been adapted to illustrate dialogical process that exchange knowledge and explore issues, leading to the best possible change. The Johari Window can be used to identify the self-perception and the other's perception about one's own personality.

The Johari Windown model helps people to understand and improve interpersonal communication and relationship. According to this model interpersonal effectiveness is directly related to the amount of mutually shared information, or congruence. The larger this area becomes, the more effective the communication will be.

This models is made up of four different quadrants that together represent total person in relation to others on the basis of awareness of behavior, feeling and motivation. These quadrants are described below:

1) **Open Self**: The open quadrant refers to states about an individual such as behaviors feelings and motives that he knows and is willing to share with others. Sometimes, in a relationship, the individual is straight forward, open and sharing. It is clear to both what he is doing, how do is feeling and what his motives are?

2) **Blind Self:** It reflects behavior, feelings and motivation known to other parties but not to self. In other words, in this form of interaction, the individual knows about others but not about himself or herself. The individual irritates others unintentionally. Although the latter could tell the former about this aspect, they may be afraid of hurting his or her feelings.

3) **Hidden Self:** The hidden quadrant refers to states about the individual known to him or her but not known to others. This is private and only the person concerned known what is happening. The hidden self is within the vision of the individual but he does not want to

share it with others. People learn to hide many feelings and ideas right from their childhood.

4) **Unknown Self:** The unknown quadrant refers to states that neither the individual nor other people know about him. The unknown self is mysterious. Many times, motives and feelings go very deep and no one, including the person concerned knows about these. People often experience these parts of life in dreams or in deep rooted fears or compulsions. These acts, feelings, and motives remain vague and unclear to people until they allow them to surface.

The process that affects the shape of the Johari Window is the feedback. This is the extent to which others are willing to share with the person on how he or she is coming across. It is also the extent to which the person is able to perceive the verbal and non-verbal feedback in the organizational setting. Another important factor that affects the Johari Window is disclosure.

This is the extent to which the persons are willing to share with others the data that exists in their organizational milieu. In the process of feedback and disclosures in the system, organizationally relevant data which the others are willing to share with the person or the way they think or behave the open-self of persons begins to broaden its horizon. There is also a high probability that something of which was previously unknown to the self and others will begin to surface into the unknown self.

JOHARI WINDOW PROCEDURES FOR SELF AWARENESS

A model of Johari Window was to look at one's personality including behaviours and attitudes that can be known and unknown to self and known and unknown to others.

1) **Create a List of Needs:** Create a list of either the needs (i.e., gaps in results) that were identified in the needs assessment, or a list of the potential performance interventions that individuals are considering as recommendations based on the needs and interventions, therefore if anyone wants to gain perspectives on both the prioritization of the needs and the prioritization of potential interventions they should conduct two separate Johari Window exercises.

2) **Identify Representatives:** Identify representatives from other groups representing the perspectives within the program, project, or organization (e.g., managers, individuals in a country office, or others outside of the World Bank).

3) **Provide Representatives with the List of Identified Needs and Prioritize them:** Provide the representatives with the list of identified needs (or potential performance interventions) and ask them to prioritize them based on their perspective.

4) **Prioritize on Self Perspective:** Prioritize the same list of identified needs (or potential performance interventions) from self perspective as well. If an individual are working

with a team on the needs assessment then this can be done as a team through a variety of group decision making techniques (e.g., nominal group or straw polls).

5) **Place Highest Priority Data Elements into the Johari Window Matrix:** With priority list from each group, place the highest priority data elements into the Johari Window matrix. Individuals can include their priorities in comparison to the priorities of another group (**Figure 3.21).** Or they can compare the priorities from differing groups, leaving out self perspective.

6) **Review the Complete Johari Window Matrix:** Review the complete Johari Window matrix, along with recommendations of how to expand the needs assessment to address gaps between what is known and unknown from each perspective, and with individual needs assessment partners. Based on the findings and discussions, plans the needs assessment data collection and analysis processes.

ADVANTAGESOF JOHARI WINDOW

1) The Johari Winow exercise can ensure that multiple perspectives are considered when prioritizing the findings of self need assessment.

2) The results of a Johari Window exercise can help to communicate with others when prioritizing the findings of self need assessment.

3) Individual can use the Johari Window exercise to expand on the finding of the needs assessment to also include information on what preferences differing groups may have on what should be done in response to identified needs.

4) The Johari window can be used as a self assessment tool to increase individuals' understanding of themselves. This may be an exploration of the skills they possess or their personal and professional charactertistics.

5) As an aid to personal and professional development, the Johari Window encourages reflection – enabling individuals and teams to consider strength and weakness not only from their own point of view but from their managers', colleagues' and customers' perspectives.

6) As well as being used by individuals, the Johari Window can be applied by a group to identify team skills and characteristics.

DISADVANTAGESOF JOHARI WINDOW

1) The Johari Window technique can be more limited than other tools or techniques (e.g., SWOT or brainstorming) for generating ideas about what to do next.

2) The Johari Window exercise requires that all stakeholders value the perspectives and

potential differences between groups within the organization.

3) No-one should feel obliged to reveal anything about them; they do not feel comfortable in sharing. Although individual may be led to believe that self-disclosure is healthy and can lead to increased trust within a group, inappropriate self-disclosure has its dangers. Individuals are often better off not telling others about their innermost personal secrets (or professional disasasters!).

LEADERSHIP

Meaning of Leadership : Leadership is the process of influencing the behaviour of others towards the accomplishment of goals in a given situation .According to George R. Terry, "Leadership is the activity of influencing people to strive willingly for group objectives." This definition puts a direct emphasis on willingness on the part of the people led. Koontz and O'Donnel have defined leadership as "Influencing people to follow the achievement of a common goal. It is the ability to exert inter-personal influence by means of communication towards the achievement of goal. James Giribbin defines leadership as "a process of influence on a group in a particular situation, at a given point of time and in a specific set of circumstances that stimulates people to strive willingly to attain organisational objectives giving them the experiene of helping attain the common objectives and satisfaction with the type of leadership provided."

NATURE OF LEADERSHIP

The definitions given above reveal the following salient features of Leadership:

1 A leader must have followers. Lead whom? Leadership does not exist in vacuum. Leadership cannot exist without a group of followers. A person can be called a leader only when people accept him and agree to be influenced .He must receive habitual obedience from his team of followers. Leadership cannot be imagined without followers.

2. Leadership is a working relationship between the leader and his followers . This means that the leader must be community of interest between the leader and his followers.

3. The purpose of Leadership is to achieve some common goal or goals. The process of influence and interaction is rational in the sense that it is goal-directed. A leader seeks to make the followers strive willingly to accomplish group objectives.

4. A leader influences his followers willingly not by force or coercion. Leadership is not bossism. A leader shows the way by his own example. He is not pusher but sets an ideal before his followers by his personal conduct. According to Urwick,"It is not what a leader says," Leadership is the ability to secure desirable actions from a group of followers voluntarily , without the use of coercion.

5. Leadership is exercised in a given situation. It is a function of the leader, the followers

and other situational variables

L=f (l, f, s)

where l, f, and s stand for leader, followers and situation respectively.

6. Leadership is the social interaction-influence process between the leader and his followers. It is an inter-personal process of influencing behaviour. A leader is one who holds a sway over the attitudes, actions and behaviour of a group of persons. Followers may also influence the attitudes and behaviour of leader holds a sway over the attitudes, actions and behaviour of a group of persons. Followers may also influence the attitudes and behaviour of the leader to some extent by interacting with him.

7. Leadership is a power relationship in which power and influence are unevenly distributed. The person holding power over other members of the group becomes the leader. A leader is at the center of the group's power structure. He derives his power from superior knowledge or experience, formal authority, charisma, distinct personal traits, resources for rewards and punishment.

8. Leadership is a continuous and dynamic process of influencing behaviour . It is also a psychological process. It is complex and multidimensional in character.

The exercise of influence is the essence of leadership. The influence may be exercised in a number of ways. David Kipnis and his colleagues have identified seven influence strategies adopted by managers for performing leadership roles. These are :

(i) Reasons, Using facts and data to build up a logical argument;

(ii) Friendliness, Using supportiveness, creation of goodwill and praise;

(iii) Coalition. Mobilising others in the organisation;

(iv) Bargaining. Negotiating on the basis of mutual give and take;

(v) Assertiveness.Adopting a direct and forceful approach to address issues;

(vi) Higher authority. Gaining support of higher levels in the hierarchy to add weight to the request.

(vii) Sanctions. Using rewards and punishment .

The empirical research shows that reason and assertiveness are most popular influence skills while high authority and sanctions are the least used methods.

LEADERSHIP VS. MANAGEMENT

Quite often leading and managing are considered as synonymous terms. Really speaking, there

are several differences between leadership and management.

1. **Relationship Management Implies Superior-Subordinate Relationship :** This relationship arises within organisational context. On the other hand, leadership can occur anywhere within or without organisation context. For example, a mob can have a leader but not a manager. Informal groups have leaders but noit managers. In other words, leadership is possible in both formally organised as well as unorganised groups .

2. **Source of Influence :** A manager is appointed and he obtains authority from his position. He makes use of his formal authority to influence the behaviour of his subordinates. On the contrary, a leader is not always appointed and he derives his power from his followers who accept him their leader. A leader makes use of this power to influence the attitudes and behaviour of his followers.

3. **Sanctions :** A manager has command over the allocation and distribution of rewards (positive sanctions), e.g., promotion and punishments (negative sanctions). e.g., demotion. On the other hand, a leader has command over social satisfaction and related task rewards . While management is concerned more with the goals of the organisation, leadership is concerned with the goals of the followers.

4. **Basis of Following :** Both managers and leaders have followers. But the people follow them for different reasons. People follow a manager because they are required to follow by their job description supported by a system of rewards and penalties. On the contrary, people follow the leader on voluntary basis. If there are no followers but there can be no leader. But a manager may be there even if there are no followers but only subordinates. A manager may continue in office so long as his performance is considered satisfactory, whereas a leader can survive as long as followers accept him.

5. **Accountability :** A manager is accountable for his own behaviour as well as for the job behaviour of his subordinates. His accountibility for performance is clearly defined.. But there is no clear-cut accountability relationship in leadership as a leader is not accountable for behaviour in the same way. A manager seeks to achieve organisational goals but a leader is more concerned with group goals and member's satisfaction.

6. **Functions :** A manager performs all the functions of planning, organising, directing and controlling. On the other hand, the main job of a leader is to guide and inspire the effort of his followers. Leadership is one aspect or element of directing. All management needs leadership but leadership may exist without management. Leadership is an instrument of management but its content is neutral to management. Leadership is a more universal attribute than management . Management formulates board policies to guide the operations of the enterprise. Leadership initiates action for achieving the objectives.

"A leader need not be a manager but a manager must have many of the qualities of a good

leader." This statement has two implications. First, a leader need not be formally appointed or elected. He can be successful leader if people accept him wholeheartedly. For example, Mahatma Gandhi was successful in leading the Indian people to freedom without occupying formal position. Even formally elected leaders like Jawahar Lal Nehru and Sardar Patel sought his advice and guidance regularly. This was because people had faith in Gandhiji Secondly, a manager can be more successful if he posseses the quality of leadership. With the help of his formal authority, he can obtain only average or ordinary performance from employees. With leadership he can arouse cooperation and compliance beyond the normal call of duty. in order to secure outstanding work performance from his people, a manager requires power of acceptance authority. Ability to lead is one of the keys to being an effective manager. A manager can no doubt get some results through his positional authority. But these are likely to be far inferior to what he can achieve he adds the ingredient of effective leadership. Since manager get things done through people, their success depends to a greater extent upon their ability to provide leadership qualities.

IMPORTANCE OF LEADERSHIP

History is full of examples where nations and organisations have attained extraordinary success with the help of outstanding leaders . India owes its independence and growth largely to the leadership of Mahatma Gandhi, Jawahar Lal Nehru, Sardar Patel and other leaders. The success of a business enterprise is also dependent upon the quality of its leadership. A weak leader can wreck the morale and destroy efficiency. On the other hand, strong leadership can transform a lack lustre group into a strong and aggressively successful organisation.

Some of the important functions performed by a leader are given below :

1. **Guiding People :** The first and foremost job of a leader is to guide and direct the group.

He acts as a friend, philosopher and guide to his followers and takes the lead in all activities. A leader provides advice and counsel. He uses his power in the best interests of the group.

2. **Developing Teamwork :** A leader acts as the captain of his team in order to win the confidence and cooperation of his followers. He convinces people about the goals and policies of the group. A leader secures cooperation and coordination by setting a good example through his own conduct. He is always in touch with the people to nurture team work. He reconciles differences among people and inculcates a sense of collectivism and responsibility.

3. **Maintaining Discipline :** Discipline is the force that prompts individuals to observe rules, regulations and procedures which are necessary for the attainment of objectives. It restrains chaos and destructive activities. A leader depends more on consistency of behaviour and impartial treatment to enforce discipline. He makes less use of penalties for the violation of regulations and focuses more on self- discipline or voluntary restraint.

4. **Building Morale :** In order to develop high morale among people the leader governs his own actions. He creates confidence in his followers in his purpose of the group, and in the plan of action designed for the purpose. He strives to build unflinching loyalty and devotion to the groups. Good leadership is a strong motivating force in an organisation.

5. **Representing the Group :** A leader is the true representative of his followers, both to those working for the group and those outside world . He serves as their spokesman and guardian . He carries the voice of his people to various authorities . According to Rensis Likert, leader acts as linking pin between the group and the forces outside it.

To sum up, leadership is a cohesive force which holds the group intact, the disciplinary power that keeps the group working, the electric current that energises human action, the insight that converts despair into hope. In fact, there is no substitute for effective leadership.

LEADERSHIP STYLES

The behaviour pattern exhibited by a leader while influencing the followers is known as leadership style. On the basis of how leaders use their power, leadership styles can be classified into three broad categories- autocratic, democratic and free-rein

Autocratic or authoritarian Leadership : An autocratic leader exercises complete control over the subordinates. He centralises the power in himself and drives his group by coercion and command, He uses rewards and holds threat of penalties to direct the subordinates. He does not delegate authority.

Advantages

(i) Autocratic leadership style permits quick decision making.

(ii) It provides strong motivation and satisfaction to the leader who dictates terms.

(iii) Less competent subordinates are needed at lower levels.

(iv) This style may yield positive results when great speed is required.

Disadvantages

(i) Autocratic style leads to frustration , low morale and conflict among subordinates.

(ii) Subordinates tend to shirk responsibility and initiative.

(iii) Full potential of subordinates and their creative ideas are not utilised.

(iv) Organisational continuity is threatened in the absence of the leader because subordinates get no opportunity for development.

Autocratic Leadership style may be appropriate when subordinates are uneducated, unskilled and submissive. Lack of knowledge and experience on the part of subordinates makes it necessary that the leader takes decision himself. This style may also be desirable when the company endorses fear and punishment as accepted disciplinary techniques . When a leader prefers to be dominant in decision-making and there is little room for error in final accomplishment , autocratic leadership may enhance morale and improve productivity.

These days autocratic style is becoming less desirable as a employees are becoming more educated and well-organised.

Democratic or Participative Leadership : A consultative or democratic leader takes decision in consultation and participation with the subordinates . He decentralises authority and allows the subordinates to share his power. The leader does what the group wants and follows the majority opinion. He keeps the followers informed about the matters affecting them. A democratic leader provides freedom of thinking and expression. He listens to the suggestions ,grievances and opinions of the subordinates.

Advantages

(i) Consultative leadership improves the job satisfaction and morale of subordinates.

(ii) It cultivates the decision-making ability of subordinates.

(iii) The leader multiplies his abilities through the contribution of his followers.

(iv) It develops positive response and reduces resistance to change.

(v) The quality of decisions is improved.

(vi) Labour absenteeism and labour turnover are reduced.

Disadvantages

(i) Democratic style is time-consuming and may result in delays in decision - making

(ii) It may not yield positive results when subordinates prefer minimum interaction with the leader.

(iii) Over a period of time subordinates may develop the habit of expecting to be consulted on every issue and they may feel frustrated when they are not consulted.

(iv) Consultation may be interpreted as a sign of incompetence on the part of the leader to deal with problems.

(v) It requires considerable communicative and persuasive skills on the part of the leader.

Consultative leadership is considered to be more effective than autocratic style though there is no empirical proof for this. Consultative style is more compatible with the prevailing value system which favours freedom of expressions and independent thinking. The choice of leadership style depends upon the immediate goal and on the subordinates. If the immediate goal is job satisfaction and employees have a high need for the organisation and the leader really wants to share decision-making with the subordinates.

Free-rein or Laissez-faire Leadership : Free-rein leadership involves complete delegation of authority so that subordinates themselves take decisions.

The free-rein leader avoids power and relinquishes the leadership position. He serves only as a "contact" to bring the information and resources needed by the subordinates.

Advantages

(i) Positive effect on job satisfaction and morale of sobordinates.

(ii) Maximum possible scope for development of subordinates .

(iii) Full utilisation of the potential of subordinates.

Disadvantages

(i) Subordinates donot get the guidance and support of the leader

(ii) It ignores the leader's contribution to the subordinates.

(iii) Subordinates may move in different directions and may work at cross purposes which

may degenerate into chaos.

Likert's Management Systems

Rensis Likert and his associates at the University of Michigan, U.S.A., conducted an extensive survey of management styles and patterns in a large number of organisations. Likert developed a continuum of four systems management. These systems indicate the stages of evolution in the patterns of management in organisations. These are based on several variables namely leadership motivation, communication, interaction influence, decision making process, goal-setting and control process. A brief description of Likert's four management systems to given below.

System 1 – Exploitative-Autocratic : The managers under this system make all work-related decisions and order their subordinates to carry out the decisions. The manager and his subordinates are highly formal in nature and downward in direction. Such managers believe in threats and punishments to get things done . They exrcise strict supervision and control over the subordinates.

System 2 – Benevolent Autocratic : System 2 managers are also autocratic but they are not exploitative. They adopt subordinates to carry out their tasks within the prescribed limits. The manager adopts patronising attitudes towards the obedient and faithful subordinates. They are rewarded for accomplishment of goals. But the subordinates who do not carry out their tasks are treated harshly. Thus, 'carrot and stick' approach of motivation is adopted under this system .

System 3 – Consultative : Managers under this system set goals and issue orders after discussing them with the prescribed limits. They take major decisions themselves and allow subordinates to take the routine decisions. Subordinates are free to discuss the work-related matters with the managers. Thus there is two-way communication in the organisation. Managers ask subordinates to carry out their tasks. Greater emphasis is placed on penalties to motivate the subordinates. The control system tends to be goal-oriented and flexible.

System 4 – Democratic : Under this system, goals are set and work-related decisions are taken by the subordinates. Supervision and control are group-oriented. Managers are friendly and supportive in their attitudes towards the subordinates. Subordinates are permitted self-appraisal on the basis of mutually set goals. In addition to economic rewards , subordinates are given a sense of purpose and feeling of worth. The communication system is completely open.

Likert suggested that system 4 is the ideal system towards which organisations should work. On the basis of intensive research in a wide range of organisations, Likert found that organisations with system 4 outperformed those with the other systems. He advocated System 4 as the best way to develop and utilise human resources . He suggested leadership training at all levels of management so as to move managers to System 4 management. He found that democratic or participative management develops supportive relationships leading to higher productivity and

worker's satisfaction. A System 4 manager enjoys full trust and confidence of his subordinates. He manages with the full consent and cooperation of the followers. Likert states that leadership and other processes of the organisation must be such as to ensure that in all interactions and in the light of his values, desires and expectations, will view the experience as supportive and one which builds and maintains a sense of his personal worth and importance.

Continuum of Leader Behaviour

Tennenbaum and Schmidt have developed the concept of leadership continuum to highlight the range of possible leadership styles. At the left end of the continuum is the 'boss-centred' (autocratic) leadership style while at the right end is the 'subordinate-centred' (free-rein) style. As one moves from the left extreme to the right extreme, the degree of control goes down and the freedom of subordinates goes up.

1. Manager makes decision and announces it. It is an extreme form of autocratic leadership whereby the boss takes the decision and asks the subordinates to implement it.
2. Manager sells the decision. In style the boss alone takes the decision and persuades the subordinates to accept it.
3. Manager presents ideas and invites questions. this style involves greater involvement of subordinates. The boss arrives at the decision and asks subordinates to express their views on it.
4. Manager presents tentative decision subject to change. Herein the boss takes a tentative decision and modifies it in the light of views expressed by the subordinates.
5. Manager presents problems, gets suggestions and takes decisions. In this case the boss takes the decision after hearing the suggestions from subordinates.
6. Manager defines the limits and asks the group to make decisions.Under this style of leadership , the boss gives the freedom to subordinates to take decisions subject to pre-determined limits.
7. Manager permits subordinates to function within the limits defined by him. This style involves full participation of subordinates. The boss defines overall limits. Subordinates are free to decide and act within these limits.

This continuum approach to leadership provides a wide range of leader behaviours. It identifies the behavioural alternatives available to a manager and highlights the dynamic nature of leadership. It also suggests that the leadership style should be adapted to the requirements of the particular situation. While choosing the appropriate style, a manager should consider the following factors :

1. **Forces in the Manager :** Manager's value system, his confidence in the subordinates, his leadership inclinations and his tolerance of ambiguity.

2. **Forces in the Subordinates :** Subordinates' needs for independence, their tolerance for ambiguity, their willingness to assume responsibility for decision-making, their interest in and understanding of problems, their understanding of problems, their understanding of and identification with organisational goals, their experience with and expectations of leadership.

3. **Forces in the Situation :** Type of organisation, nature of problems, group effectiveness, time pressure, etc.

THEORIES OF LEADERSHIP (Approaches to Leadership)

Researches on leadership have identified three main approaches to leadership-trait theory, behavioural theory and situational theory.

TRAIT THEORY

According to this theory , leadership is a conglomeration or a set of personality traits. It is a function of personal traits of the leader. It is the oldest theory popularised from the time of ancient Greeks. This theory has also been called the 'Great Man Theory' because it is based on the set of traits which are common to great men. It seeks to rationalise the greatness of leaders. It follows that a leader is thought to possess certain traits which separate him from the common mass of followers. Traits are innate and inherent personal qualities.

Researchers have identified the following traits of leaders :

1. **Physical Qualities :** Sound health, vitality, endurance, physical and nervous energy,

enthusiasm, forcefullness.

2. **Intellectual Qualities :** High intelligence, sound judgement, ability to teach, scientific approach, decisiveness, self-understanding.

3. **Moral Qualities :** Integrity, fair play, moral courage, will power, sense of purpose, achievement drive, objectivity.

4. **Social Qualities :** Ability to inspire, tact, persuasiveness, self-confidence, empathy, initiative, knowledge of human nature, human relations attitude.

In the initial stages, it was thought these traits were inborn (God gifted) and, therefore, 'leaders are born, not made'. Later on, the experts revised their opinion and agreed that these qualities can also be developed through education, training and experience.

Trait theory is quite simple. It helps to separate leaders from followers. It is also useful in developing training programnmes for managers at various levels. However, the theory has been criticised on several grounds. First, there is no universal list of traits of successful leaders. Different researchers have identified different traits. Individuals who never achieve leadership also possess some of the same traits as successful leaders. There are hardly any personality traits that consistently distinguish the leader from the followers, for example, Gandhi and George Washington. Traits are not well defined. Secondly, it is often difficult to measure traits.

It is not clear how high a score a person must achieve on a given trait to make it effective. Thirdly, effective leadership is not a function of traits alone. It is the leadership situation that determines what traits are essential for effective leadership. Trait theory fails to consider the whole environment of leadership. Fourth the theory does not offer business world. Finally, there is no direct correlation between the level of traits and level of success. Many persons possesssing the traits have failed as leaders.

BEHAVIOURAL THEORY (FOLLOWERS' THEORY)

Deficiencies in the trait approach have led researchers to focus attention on leadership behaviour. Behavioural theory attempts to describe leadership in terms of what the leaders do rather than what they are. According to the behavioural approach leadership is the function of effective role behaviour. In other words, an effective leader is one who performs those acts which help the group to achieve its objectives. Three main models of leadership based on the behavioural theory are given below.

1. **The Michigan Studies :** After studying a large number of supervisors in several factories, the Michigan researchers identified two leadership styles-employee-centred and production centred. A supervisor is considered as employee-centred if he allows the employees to handle most of the problems themselves and provides necessary assistance for this purpose. He is more concerned with the human element. On the other hand, a

production-oriented supervisor is concerned more with the task than with the people who perform the task. He regards the employees as instruments for getting the work done rather than as human beings with needs and emotions. Employee-centred manager is a Theory Y manager while production-centred manager is a Theory X person.

Michigan School researchers found that employee-centred supervision was more effective in increasing productivity. Production centred supervision and control lead to lack of interest and responsibility on the part of workers.Supervisory style influences group motivation and emphasis on productivity at the expense of workers dignity is self-defeating.

Michigan studies became popular in America because they were compatible with the prevailing value system. These findings led to the widespread belief in the 1950s that employee-oriented leadership style was superior.

2. **The Ohio University Studies :** After analysing actual leadership behaviour in a wide variety of situations, researchers at the Ohio State University identified two leadership behaviours-consideration and initiating structure. Consideration (C) refers to the mutual trust, friendship and warmth between the leader and his staff. Initiating Structure (IS) implies the degree to which the activities of subordinates are defined and work procedures are established.

The researches used a leader Opinion Questionnaire (LOQ) to systematise leader's self-perception of the leadership style. The questionnaire was to be answered by the leader himself to enable him to perceive his own leadership style. A leader behaviour Description Questionnaire (LBDQ) was developed to be answered by the leader's seniors, peers and subordinates. This questionnaire contained fifteen questions each for consideration and initiating structure. It was used to develop a model of observed leader behaviour..

The researchers found that considerations and initiating structure were not mutually exclusive or distinct dimensions. A high score on one dimension does not necessarily mean a low score on the other.

High Consideration

The two-dimensional model of Ohio Studies caught the imagination of managers all over the world due to its simple but powerful reasoning. The concepts of consideration and initiating structure have had a high intuitive appeal to practising managers. Many training programmes were developed to make use of them. The model is simple to understand and practice. The logic behind the model appears quite reasonable and appealing. The impact of environmental variables on leader behaviour is completely ignored. In fact, the efforts of both consideration and initating structure are determined by the situation. The use of questionnaire approach to measure

leadership effectiveness has also been questioned . According to Hill, considering and initiating structure are not independent dimensions.

A leader can be both task-oriented and employee-oriented. Consideration and initiating structure are distinctly different behaviours and a leader must be very flexible in his behaviour. The transition from one style to another is not always easy and smooth. Thus the combination of high consideration and high initiating structure for the most effective behaviour is questioned. There is no significant relationship between leader behaviour and productivity.

Managerial Grid

Blake and Mouton have developed a grid to explain leader behaviour. They point out that leadership style is a blend of matrix wherein task -oriented and relations-oriented behaviour mix in different degrees to evolve the composite style. In the managerial grid, the X-axis represents the 'concerns to production' while Y-axis represents the 'concerns for people'. Concern for production implies the managerial attitudes about volume of output, work procedures, work efficiency, etc. Concern for people means degree of personal commitment, self esteem of commitment, self -esteem of workers, responsibility based on trust and satisfying inter-personal relations. A manager has to get things done through people and, therefore, he is concerned with both the task and the people. The managerial grid identifies five discrete combinations of these two factors. These five styles of the grid are as follows:

Impoverished (1, 1) : The manager has low concern for both production and people. Under it exertion of minimum effort is required to get work done and sustain organisation membership. The leader avoids controversy and confrontation.

Country Club (1, 9) : Thoughtful attention to needs of people for satisfying the relationship leads to a comfortable friendly organisation atmosphere and work tempo. The leader keeps his team in good humour and secures good relations. He has maximum concern for people and minimum concern for production.

Middle of the Road (5, 5) : Adequate organisation performance is possible through balancing the necessity to get out work while maintaining morale of the people at a satisfactory level. The leader balances tasks with concern for both production and people.

Task Management (9, 1) : Efficiency in operations results from arranging conditions of work in such a way that human elements interfere to minimum degree. The task is well-planned and authority is well defined. This is the task oriented or authoritarian style involving suppressions of conflicts. The leader is mainly concerned with production and has little concern for people.

Team Management (9, 9) : Work accomplishment is from committed people, and interdependence through a common stake in organisation purpose that leads to relationships of

trust and respect. This is team leader style in which the leader consults his team and harmonises goals. The leader has maximum concern for both production and people. It is considered as the best leadership style. Rensis LIkert has also concluded that people-centered leaders are more successful job-centred leaders.

Managerial grid approach has a common sense appeal and it helps managers to identify their own leadership styles. It serves as useful framework for assessing identify their own leadership styles. Managerial grid is more than a theory of human behaviour. It is also a technique of organisation development. It has been used successfully in improving the attitudes and behaviour of people throughout an organisation. The grid training programme consists of six phases: (a) Laboratory SeminarTraining (b) Team Development, (c) Inter- group development, (d) Organisation goal settting (e) Goal attainment, and (f) Stabilisation.

The grid approach is popular among managers. But it is highly controversial among theorists due to lack of empirical evidence. It is an attitudinal and conceptual description of leaders because it measures the value of managers. It does not tell why a manager falls in part or the other of the grid. In reality, the extreme position shows in the grid are seldom found in their pure form.

SITUATIONAL MODELS

According to the situational theory, no leadership style is the best for all times and in all situations. Leader effectiveness is the result of the situation in which the leader operates. therefore, the situational variables should be analysed before an optimum style is selected. the leader should adjust his style according to the nature of the task, the type of the followers and the environment to improve his leadership effectiveness.

The main models of situational leadership theory are given below :

1. Fiedler's contingency model.
2. House’s path-goal model.
3. Life cycle model (Maturity-immaturity theory).
4. Reddin’s Tri-dimensional model.
5. Hersey-Blanchard model.

FIEDLER’S CONTINGENCY MODEL

Fred Fiedler's and his associates have suggested a contingency theory of leadership. According to this theory , a leadr's effectiveness depends upon the situational variables. These variables are (a) Leader's position power, (b) Leader-member relations, and (c) Task structure.

Leader's Position Power : This means the power arising from the organisation position. A leader with considerable position power can more easily obtain a better followers. Thus, leader position power refers to the degree to which the leadre has at his disposal various rewards and sanctions and the degree to which his authority over the group is supported by the organisation.

Leader-member Relations : It implies the degree of respect , trust and confidence which followers have in the leader. A leader can be more effective if he is trusted and liked by the followers and if they are willing to accept his influence.

Task Structure : It measures the extent to which the task performed by the subordinates can be spelt out clearly. If the task is clear and routine, group members' man be more easily held responsible for performance. The quality of performance can be controlled and the leader can be more effective than where the task is vaguely defined or non-routine.

Depending upon the 'high' and 'low' degrees of these situational variables, Fiedler developed eight possible combinations ranging from the most favourable to most unfavourable.

The most favourable situation (cell I) is the one where the leader-member relations are good, the task is highly structured and the leader has enormous position power to exert influence on the subordinates. On the other hand, the most unfavourable situation (cell VII) is one where the leader-member relations are poor. the task is unstructured and the leader's position power is weak. Between these extremes lie situations of intermediate difficulty.

Fiedler suggests that a task-oriented moderately favourable or moderately unfavourable situations, relationship-oriented style is the best. According to Fiedler, "The group performance will be cintingent upon the appropriate matching of leadership style and the degree of favourableness of the situation, "Favourableness of the situation means the degree to which a given situation enables the leader to exert influence over the group members.

In order to determine the appropriate style of leadership, Fiedler suggested a scale called LPC (least preferred co-worker). It is an index of motivational hierarchy or behavioural prefernces. A high LPC score means a task-orientation.

Fiedler maintains that the most appropriate leadership style depends upon the situation faced by the leader. Fiedler's contingency model has had major impact on knowledge about leader effectiveness. It indicates that leadership effectiveness depends upon the situation or work environment. it also helpful in designing selection and training programmes for managers.

On the basis of his contingency model. Fiedler dveloped the ‘leader match’ training programme to improve leadership effectiveness. The programme is based on the assumption that it is much easier to change the situation than the fundamental style. Therefore, the job should be fitted to the manager. The leaders should be trained to modify their environments and their jobs to fit their style of leadership.

Criticism : Many research studies have been conducted to test the validity of Fiedler’s model. Some of the studies have supported the model while other studies have questioned its validity. The model has been criticised on the following grounds:

(i) The model is unidimensional. It suggests that the leaders can be either task-oriented or relationship-oriented. In reality leadership is multidimensional. It is not necessary that a leader who is high on one dimension is low on other dimension. Rather a combination of two may be found..

(ii) As a measuring rod of style, LPC is a confusing and unreliable concept, Some studies have revealed that there is no direct relationship between LPC score and style . For example, one study suggests that the same person may obtain different LPC scores on different days.

(iii) Fideler’s model fails to explain why the same style is appropriate in both most favourable and most and unfavourable situations. It lacks explanatory power and theoretical orientation.

(iv) The model does not consider many situational variables such as sub-ordinates' expectations of leader behaviour, ability of the leader to influence his superiors and congruence of leadership styles among organisational levels.

(v) The model is very complex and based on small samples. It does not explain how the situational variables effect the leadership style. Moreover; it is very difficult to change the situation for the leadership style.

Inspite of the limitations, Fiedler’s leadership model has become popular because it operationalises the set of actions that can be used to improve leadership effectiveness. It also takes into account personal and situational variables. The model has intuitive appeal and is based on commonsense reasoning. A leader can enforce accountability (task orientation) when his power is strong But when his power is strong is weak, he has to cultivate the relationships (relation-orientation)to get things done.

LEADERSHIP STYLES OF SOME INDUSTRIALIST AND CHIEF EXECUTIVES

1) Dhirubhai Ambani, Chairman of Reliance: He is a first generation entrepreneur and has build the largest company in the private sector. He believes in entrepreneurial style with propensity to high-risk taking, creative’s, innovative, keeps watch on the

environment continuously and a great collector of managerial talents.

2) **Ratan Tata, Chief of Tata Group:** He inherited large industrial empire. He believes in consolidation but still he is creative; delegates authority to the lowest possible levels and has democratic temperament.

3) **Keki Dadiseth, Former Chairman of Hindustan Lever;** He is highly professional and believes in consolidation, averse to taking big risks. He is a number cruncher by temperament. How to attract and maintain talents is always on top of his mind.

4) **Rahul Bjaj, Chairman of Bajaj Auto:** He inherited the industrial group, further developed and consolidated it. He has a friendly and philosophical approach. He is always making sure for level playing field, cannot take things lying-down, and is slightly resistant to change.

5) **N.R. Narayan Murthy, Chairman of Infosys Technologies:** He is a great computer technocrat turned as industrialist. He believes in simple living and high thinking, supporter of middle class culture, is not ever satisfied, constantly aspires for more, believes in doing great things but takes care of others, is highly creative and innovative.